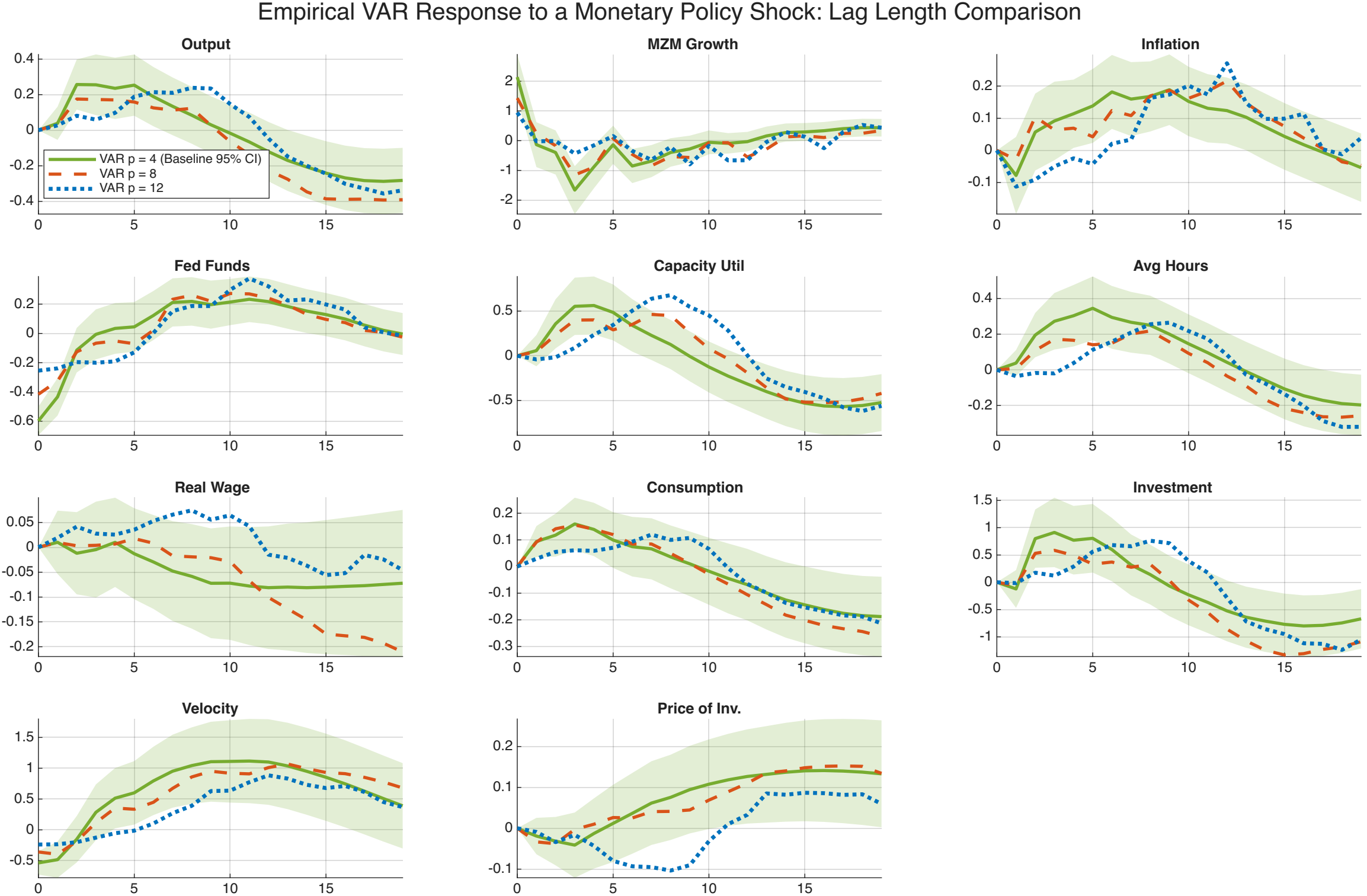
Empirical VAR Response to a Monetary Policy Shock: Lag Length Comparison
Output
MZM Growth
Inflation
Fed Funds
Capacity Util
Avg Hours
Real Wage
Consumption
Investment
Velocity
Price of Inv.
VAR p = 4 (Baseline 95% CI)
VAR p = 8
VAR p = 12